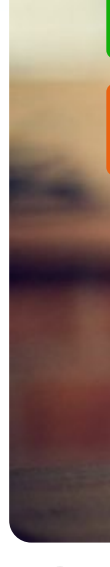


CHARLES WILKE
SEPTEMBER 9, 2021

BLOG

How to Start a Plumbing Business

Pipes are your passion, and you've got a knack for fixing things. You love helping people in need, and see a future in plumbing. And you're interested in the freedom and potential success that come with owning your own business, but where to begin? Let's look at how to start a plumbing business for yourself.

In this article, we'll cover:

- The necessary training, licensing and insurance you'll need to establish a plumbing business.
- The choices in who your business will serve and the organizational culture that will drive your company.
- What prices to set your services so you're not undercutting your efforts.
- How to develop your brand identity – including your internet presence.
- The resources to use that will help you build your client list.

How to Start a Plumbing Business Part I: Setting Your Foundation

"If I could do it all again, I'd be a plumber." – Albert Einstein

1. Hit the Books and Become a Certified Plumber

TradeSchool.net provides a shortlist of the typical areas of study you'll focus on in an average trade school program:

- Plumbing Codes
- Safety Protocols
- Blueprint Reading
- Drainage Systems
- Backflow Principles
- Pipe-System Design
- Gas-Piping Systems
- Water-Supply Systems
- Brazing and Soldering Techniques
- Installing and Repairing Pipes, Fittings and Valves

Regardless of your desired path, these areas of study are fundamental in residential and commercial plumbing.

Check your local area for trade schools that might offer certification courses. A trade school is also a great resource to find open apprenticeship positions with local plumbing businesses.

2. Apprentice With an Established Plumbing Company

On-the-job training is greatly valuable for plumbers. If you actually want to start your own plumbing business, you'll need to see how one operates in the real world first-hand.

Most states require apprenticeships to be paid, so you should be able to support yourself during your time apprenticing. Plus, the lessons you'll learn working with a functioning plumbing business will save you from unknowingly hitting roadblocks you'll face once you strike out on your own.

Be a sponge, and take in all you can about topics like:

- Client Acquisition
- Hiring and Scheduling
- Regulatory Compliance
- Branding and Marketing
- Service Seasonality and Sales
- Customer Experience and Satisfaction

Think of your apprenticeship as a valuable piece of your education. The fundamentals of schooling are necessary, but your apprenticeship will help you see the realities of running an actual business. Soak it in!

3. Get Licensed With Your Local Government

Each state has different licensing requirements and steps. Some might even require you to get licensed before beginning as an apprentice. Check with your local city or county office to get the specifics on your region.

In most cases, you'll only need to be over 18, have received your high school diploma or GED, pay a fee, and pass a test. Depending on the state, you may be required to have experience as an apprentice before you're allowed to take that test. There may also be a stipulation on having a clear criminal record, but again, that varies by locality.

However, you'll definitely need to get licensed before starting a plumbing business. The key to longevity and building out your client list is being clear on your license status up front.

4. Decide on Your Plumbing Service Focus

Plumbing as a skills discipline is a pretty broad field. Hone in on your focus to make your business easier to understand for potential clients.

Are you a residential plumber? Commercial?

Do you want focus your skills on:

- Drainage and Clogs
- Gas Service Technician
- Pipe Fitting and Repair
- Steam Fitting and Repair
- Fixture Installs and Upgrades

Also, set your service region so you can define how far you will travel to assist clients. You don't want to offer too broad a region only to find yourself repeatedly stuck in traffic or showing up late.

It sounds great on paper to be available to a broad region, but it might be better to start smaller at first. This is especially important if you're currently a single truck operation.

How to Start a Plumbing Business Part II: Prepare for Launch

"An organization, no matter how well designed, is only as good as the people who live and work in it." – Dee Hock

5. Build Your Plumbing Business Pillars

Register Your Business

Check with your local government. Depending on where you're located you might need to contact your secretary of state, your franchise tax board, or another local office to file the registration paperwork for your business.

Also, talk to your CPA (Certified Public Accountant) about incorporating your business under an LLC (limited liability company) or a Corporation.

This can help safeguard your personal assets from seizure during bankruptcy or any civil lawsuit brought against your business as an entity. While this isn't the most pleasant thing to consider when starting out, it's good to be prepared for anything!

Make sure your personal plumbing license will cover your business entity, and get any insurance policy required by your state and locality. If you're planning on employing anyone, you'll likely need workman's comp insurance for your business.

As always, talk with your trusted CPA before making any major financial or legal decisions. They'll give a sense of guidance and direction based on your business' individual needs. This investment into your future helps ensure the long-lasting success of your plumbing business.

Create Your Plumbing Business Plan

There's no denying the homework involved in creating a solid business plan. This useful document can help guide many of your early decisions when founding your business.

This includes elements like:

- Market Analysis
- Executive Summary
- Company Description
- Organization and Management
- Service or Product Line
- Financial Projections
- Marketing and Sales
- Funding Request
- Appendix

A standard business plan can be a dozen or more pages, so it might be easier to start by preparing a lean-startup business plan.

The U.S. Small Business Administration offers this advice: "[Lean-startup business plans] focus on summarizing only the most important points of the key elements of your plan. They can take as little as one hour to make and are typically only one page."

Chart Your Five-Year Growth Plan

It may feel impossible to consider five months from the moment you decide to start your own plumbing business. But charting your desired growth from the outset helps guide your decisions into that uncertain future.

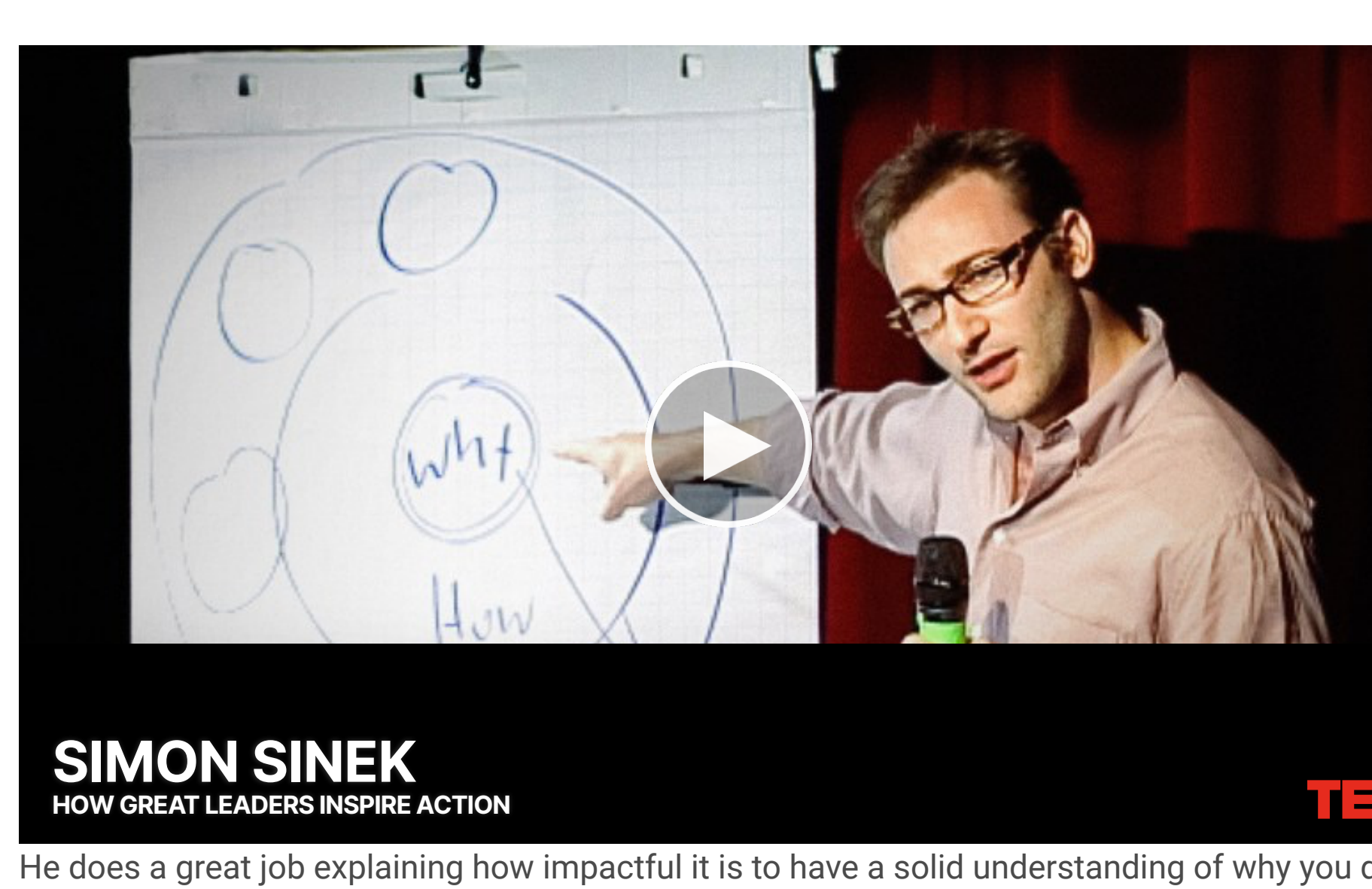
Ask yourself questions like:

- Do you want to expand into other services?
- How large do you expect to grow in that time?
- What region(s) do you intend to serve in five years?
- Would you want to grow into the commercial/residential space?

Define Your Why

So far, we've focused primarily on how to start a plumbing business. But another major factor in the success of your plan resides in the understanding of *why* you want to create a plumbing business in the first place. And no, *to make money* isn't the most compelling reason here.

If you haven't already, we suggest watching Simon Sinek's classic Ted Talk on this topic.


SIMON SINEK
HOW GREAT LEADERS INSPIRE ACTION
TED

He does a great job explaining how impactful it is to have a solid understanding of why you do what you do. And how that understanding translates to employee satisfaction and retention, and even attracting clients who believe what you believe.

Once you've defined why you want to start your plumbing business, it'll be easy to create a mission statement and company vision.

And from that, your healthy organizational culture will grow effortlessly.

6. Establish Financing and Accounting Solutions

When you're just starting out, you might be able to handle your invoicing paperwork by hand. But not too long into your plumbing business' lifecycle, you might find that every weekend is filled with scrambling to keep up with accounts payable and receivable.

If you factor in payroll as you begin to hire staff, you're looking at accounting becoming your full-time job!

This is why it's helpful to find a trusted CPA and plumbing software that can help streamline your finances.

With QuickBooks integration, paperless invoicing and customer profiles, you might find that the best plumbing software can spare you the burden of buying rows of filing cabinets and reams of paper just to keep your business running.

7. Set Your Plumbing Pricing for Services

All too frequently, new business owners attempt to undercut the competition and offer their services at a steep discount. You might find early success generating interest and filling your days with new clients that are eager to jump on a good deal.

This, however, is a long-term recipe for burnout and disappointment.

You want to competitively price your services, but also factor in the value of your time. Clients are willing to pay for quality, and like PlumberMag says, "Superior service, support and skills all factor into good value."

Remember fixed and variable costs. Certain timeframes may mean longer travel times to reach jobs on the outskirts of your region. Variable costs like gasoline for your service truck can nip at your profit margins.

Also, you'll need to decide how to set your rates. Will you base your fee on an hourly rate? Or do you think you can build a flat-rate model that will cover many variables at once?

These questions need answers before you begin to develop your client list. Remember that your clients may talk to each other, so pricing consistency is key!

Set your prices in a few minutes using this FREE plumbing pricing calculator to increase profits now!

Download Now

How to Start a Plumbing Business Part III: Take Flight

"Everybody that I've ever seen that enjoyed their job was very good at it." – Chuck Yeager

8. Source Your Plumbing Equipment

It's best if you don't expect to start your plumbing business with the latest and greatest equipment. In fact, sinking too much into your business at the outset is a dangerous gamble.

"Don't be afraid to go to auctions, liquidation sales, garage sales and online sites to find deals. It can be a great way to slash those initial capital expenditures that can take a significant bite out of your first year's profits," says Kabbage.com.

And if you find a client asking you to perform a one-off job that requires an expensive piece of hardware that you don't already have, consider renting it! You might find local equipment rentals as a cost-effective alternative if you don't expect to frequently perform the service requiring that hardware.

9. Create Your Brand Identity

Your brand identity is deeper than just your company name, logo and slogan. It also includes:

- Brand Colors
- Brand Voice and Tone
- Uniform Choices
- Truck Wrap Design
- And So Much More!

Your brand identity will give existing and prospective clients a clear understanding of what it will feel like interacting with your company. Are you built on prestige? Speed? Relatability?

How you present your brand will project a beacon for clients to feel compelled to choose you over your competition. This component will be a large driving factor in all of your ongoing marketing plans.

And while a marketing foundation is important, you can always let it shift and grow as you grow as well. While it's not advisable to often change your brand identity, it is acceptable and widely understood that brands evolve over time.

Give yourself the room to roam when starting out with your first marketing plans.

Your Digital Presence Is Key

A key component in your brand and marketing will be how you approach your internet presence, and more specifically, your company website.

You have the ability to make your site as complex or simple as you wish. You could even create a blog to share your deep knowledge on the industry.

A company website is one of your greatest marketing tools, so make sure it accurately reflects your business.

10. Grow Your Client List

Now that you've got your business created, licensed, planned, and branded. Now, it's all about growing that client list, and beyond your incredible service, there's a few great tactics to consider.

Requesting and Responding to Reviews

Some platforms like Yelp frown upon you directly asking for reviews, and even the FTC suggests avoiding incentivizing positive reviews. However, don't be afraid to ask for customers to leave you a review after a job well done. After all, client-generated reviews are a form of proof that many will seek out when deciding on a plumber.

And surely, you'll always strive for those great five-star reviews, but even if you have the occasional dissatisfied customer, you can spin that to your favor. Responding to reviews is a must, and doubly so for negative reviews.

Try to respond within 24 hours of a less-than-favorable review getting submitted about your business. Speed is important here, as is transparency. Own up to any truth in the negative review, and commit to doing better or fixing an issue when possible.

You might find that your response to a negative review could even generate a more positive response than a dozen praise-filled reviews.

Create a Referral Program

Luckily, there's no red tape round incentivizing referrals. You'll find that verbal referrals convert better. A generous 32 percent of verbal referrals result in sales.

How you decide to create your referral program is up to you, and the discounts you offer for referrals can change over time.

Early on, you might be eager to build your client list, so referral discounts might be a more useful tool to gain new clients while avoiding ongoing low prices.

Make Memorable Leave Behinds

Your clients will likely call you when they have a problem. So, leaving them something memorable after you fix their issue will help them remember you next time an issue pops up.

There's an infinite number of fun leave behinds you could consider, but when you're just starting out, it's probably best to start small and inexpensive. A simple branded pen, or a notepad with your logo and contact info on the top will do the trick. Anything that you think your client will keep around.

Also, a magnetic business card is a classic leave behind. It allows customers to easily find your company's contact info next time they are racing to contact a plumber.

If you're looking for more marketing inspiration, check out our Ultimate Plumber Marketing Guide!

Need help automating your marketing efforts? See how FieldEdge can streamline the process. Book your FREE personalized demo today!

Book Demo

How to Start a Plumbing Business and Make it Happen

There really is no better time to start a plumbing business. The market for your services remains strong, yet the number of people entering the trades is outpaced by those retiring.

The process of creating your own plumbing business may seem long, but let it be a learning process. Feel out your interest in services, and find the pricing model that works for you.

Remember these key questions:

- What is your service focus?
- What region do you want to serve?
- Why do you want to create your own business?
- Where do you see this business going in five years?

Let your brand identity fall into place, and change over time. Be truthful to yourself and your clients, and we're certain you'll find lasting success!

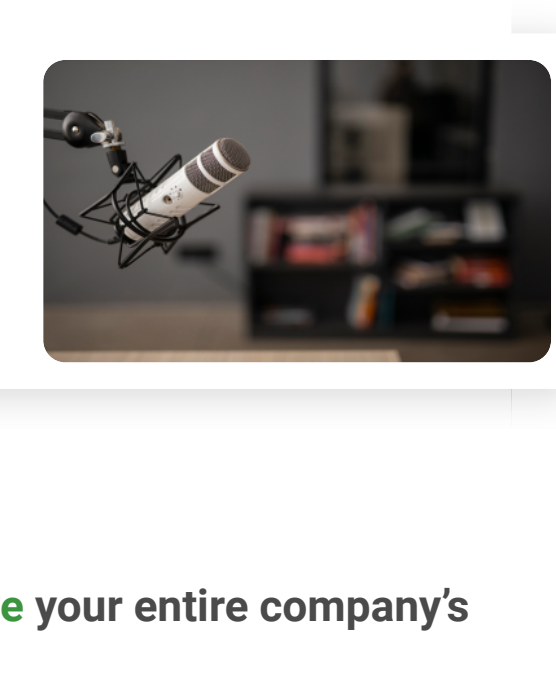
Related: Increase Plumbing Sales in 9 Steps

Want to get updates about the latest content, industry news and business tips? Sign up to receive our emails!

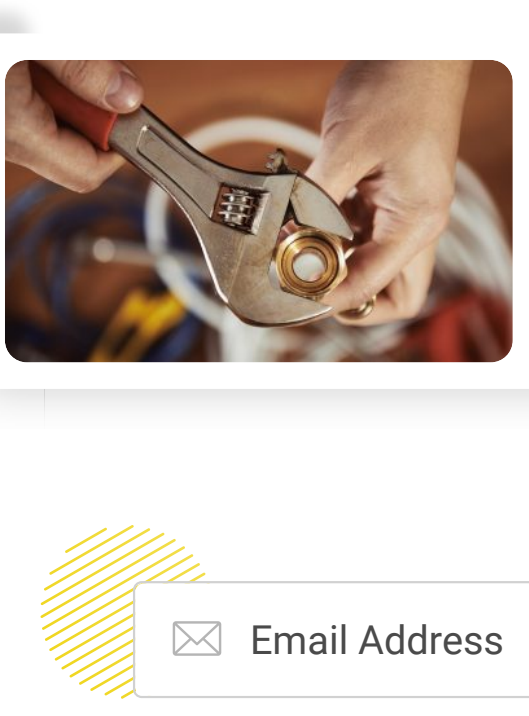
Email *

Tags: 2021 plumbing tips, cloud based field service software, field service app, fieldedge, how to grow my plumbing business, marketing for plumbing, plumber, plumber software, plumber training, plumber website, plumbing apprentice, plumbing business, plumbing license, plumbing prices

PREVIOUS POST
The Best HVAC Podcasts For Technicians
PAULYNN OPURUM SEPTEMBER 8, 2021



NEXT POST
The 43 Best Plumbing Tools for Your Business
ALYSSA SANDERS SEPTEMBER 14, 2021



See how FieldEdge can improve your entire company's operations

Email Address
Request Demo

We respect your privacy and will never send you unwanted spam.

FieldEdge by xplor

Products
FieldEdge Software
FieldEdge Payments
FieldEdge Flat Rate
ESC

Industries
HVAC Software
Plumbing Software
Electrician Software
Locksmith Software
Appliance Repair Software

Contact Our Sales Team
Phone: 800.226.7529
Email: sales@fieldedge.com

Support for Clients
FieldEdge Support ESC Support

General Contact
Contact Us Careers

AICPA SOC

Resources
FieldEdge Academy
News
Field Service Blog
Partners
Referral Program

FIELDEDGE 2022 | ALL RIGHTS RESERVED. MASTER SERVICE AGREEMENT PRIVACY POLICY